WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

PHILIPPINES

Asia

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Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Metro Manila (Makati, Bonifacio Global City, Ortigas)	Capital region and commercial heart of the country; home to the main financial district, corporate headquarters and the Asian Development Bank	Financial services, IT-BPM, real estate, retail
Luzon Economic Corridor (Subic–Clark–Manila–Batangas)	Flagship connectivity corridor covering an area that generates about half of national GDP, backed by the Philippines, the US and Japan and now joined by partners including the UK and the EU	Transport, energy, digital infrastructure, advanced manufacturing
Clark and Subic Bay (Central Luzon)	Former US bases converted into freeports with an international airport and a deep-water maritime gateway, central to the Luzon Economic Corridor	Logistics, aviation, manufacturing, ship services
CALABARZON (Laguna, Cavite, Batangas)	Dense cluster of PEZA manufacturing ecozones south of Manila and the Batangas port and energy hub	Electronics and semiconductors, automotive parts, LNG and power
Cebu and the Visayas	Second-largest metropolitan economy, with the Mactan ecozone, a major international airport and a growing IT-BPM base	IT-BPM, electronics, tourism, shipbuilding
Davao and Mindanao	Agricultural heartland and southern trade gateway, with resource and food-processing opportunities across the island	Agribusiness, food processing, mining, renewable energy
PEZA economic zones nationwide	Incentivised zones that drew P151.9 billion of approved investment in January–July 2026, up 67% year-on-year, with projected exports of $5.9 billion	Manufacturing, IT-BPM, logistics, ecozone development

INVESTOR ENTRY ROUTES

- Board of Investments (BOI) and the Philippine Economic Zone Authority (PEZA) as the principal investment promotion and incentive agencies, with Green Lanes fast-track processing for strategic investments
- CREATE MORE Act (November 2024), extending tax incentives for up to 27 years, enhanced deductions and clearer VAT zero-rating for registered enterprises
- Liberalisation laws opening sectors to full foreign ownership, including the amended Public Service Act (telecoms, airports, railways, shipping), the amended Foreign Investments Act and Retail Trade Liberalisation Act; 100% foreign ownership is now permitted in renewable energy

- Public-Private Partnership Code (2023) and the PPP Center as the route into infrastructure concessions under the "Build Better More" programme
- Freeport and ecozone regimes at Clark, Subic and PEZA zones, offering tax and customs incentives for export-oriented manufacturing, IT-BPM and logistics projects
- Bangko Sentral ng Pilipinas (BSP) oversight of a market-determined peso; foreign investments registered with the BSP or a bank can be repatriated with profits in foreign currency
- Constitutional limits remain on foreign ownership of land (investors typically lease long-term or use majority-Filipino landholding companies) and in certain reserved sectors, so structuring advice is standard

MARKET-ENTRY OBSERVATION

The Philippines enters late 2026 with a large, young consumer market, an investment-grade credit standing from all three major agencies and a strong reform pipeline, while working through a temporary cyclical slowdown. GDP grew 4.4% in 2025 and 2.3% in Q2 2026, when services (+4.5%), government spending (+8.3%) and exports of goods and services (+12.2%) offset a dip in investment; the government expects growth of 3.5–4.5% in 2026, returning to 5–6% from 2027. Foreign direct investment totalled $7.8 billion in 2025, led by Japan, the US, Singapore and South Korea, and while net inflows of $4.07 billion in January–July 2026 were lower year-on-year, PEZA investment approvals rose 67% over the same period. Record remittances of $35.6 billion in 2025, the CREATE MORE Act, sector-opening reforms and the conclusion of free trade negotiations with the EU in September 2026 underpin the medium-term case.

The main structural challenge is the economy's reliance on imported fuel, which the 2026 Middle East conflict has brought into focus: headline inflation reached 7.2% in September 2026 against the BSP's 2–4% target, and the peso has eased to around P62 per dollar. The policy response has been prompt and orthodox. The BSP has raised its policy rate three times in 2026 to 5.00%, the government declared an energy emergency in March to manage supply, and gross reserves of about $100 billion still cover 6.3 months of imports and 3.2 times short-term external debt. Officials are also addressing governance in public works following the 2025 flood-control procurement controversy, which slowed public construction temporarily. The same pressures strengthen the case for investment in domestic renewable energy, LNG, grid and efficiency projects, where full foreign ownership is now permitted.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Imported-energy dependence and elevated inflation	Higher oil prices since March 2026 have lifted inflation to 7.2% and weighed on household spending; the government projects inflation easing to 4–5% in 2027	Build energy-cost scenarios into planning; the shift creates opportunities in renewables, LNG, storage and energy efficiency
Tighter monetary conditions and peso movements	The BSP policy rate stands at 5.00% after three hikes in 2026, and the peso has eased to around P62 per dollar	Apply standard currency hedging; exporters and dollar earners benefit from a more competitive peso, and the BSP expects inflation to return to target by 2028
Governance in public infrastructure spending	The 2025 flood-control procurement controversy dented investor confidence and temporarily slowed public construction while procurement was reviewed	Favour transparent PPP Code concessions, multilateral co-financing and robust due diligence; stronger procurement oversight should improve project quality
Infrastructure and logistics costs	Power and logistics costs remain higher than in regional peers, a constraint recognised in investor surveys	Locate in ecozones with dedicated utilities; the Luzon Economic Corridor and PPP pipeline offer direct investment opportunities in closing these gaps
Regulatory complexity and slow dispute resolution	Bureaucracy and slow court processes can delay approvals and commercial dispute resolution	Use BOI and PEZA one-stop facilitation and Green Lanes, and include international arbitration clauses in contracts
Foreign-ownership limits on land and reserved sectors	The Constitution restricts foreign land ownership and some sectors retain equity caps, although recent laws have opened	Use long-term leases and appropriate corporate structures with local counsel; liberalised sectors such as telecoms,

Issue	Potential Impact	Possible Mitigation
	many sectors fully	transport and renewables are fully open
Natural hazards and climate exposure	Typhoons and El Niño affect agriculture and logistics in most years, and officials flag both as 2026 risks	Incorporate climate resilience and insurance into site selection and design; resilience infrastructure is itself a growing investment theme

INVESTOR RISK NOTE

The Philippines' risk profile is that of a large, diversified, investment-grade economy managing a temporary external shock rather than a structural break. Moody's affirmed its Baa2 rating with a stable outlook in August 2026, S&P holds BBB+ with a stable outlook and Fitch BBB with a negative outlook, each citing global energy prices rather than domestic fundamentals as the main pressure. Inflation and the peso reflect the country's reliance on imported fuel; the BSP has acted early with measured rate rises, reserves of about $100 billion remain adequate, and the government's debt is largely in local currency and at fixed rates. Officials are addressing governance in public works after the 2025 flood-control controversy, which should support better-quality infrastructure spending. Investors with peso costs or energy-intensive operations should plan for elevated prices through 2027, while export-oriented, energy-transition and services investors are well placed to benefit as growth returns towards the government's 5–6% medium-term target.

MARKET ACCESS

The Philippines is a founding member of ASEAN, a WTO member since 1995 and a party to the Regional Comprehensive Economic Partnership (RCEP), giving preferential access to a regional market that includes China, Japan, South Korea, Australia and New Zealand. It has bilateral economic partnership agreements with Japan and the European Free Trade Association, and in September 2026 concluded negotiations on a free trade agreement with the EU that will remove tariffs on more than 94% of tariff lines, with signing expected in 2027; EU-Philippines goods trade reached EUR 17.6 billion in 2025. Goods exports rose 15.2% to $84.1 billion in 2025, dominated by manufactured goods such as electronics, with the United States reclaiming the top destination alongside Japan, China and Singapore; IT-BPM services are a further major export. Manila, Batangas, Subic and Cebu are the main maritime gateways, and the Luzon Economic Corridor is set to strengthen links between them.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Ferdinand R. Marcos Jr.)	Sets economic and infrastructure priorities, including the Luzon Economic Corridor and the energy-security response	Primary reference point for the country's strategic direction
Board of Investments (BOI) and Philippine Economic Zone Authority (PEZA)	Principal investment promotion and incentive agencies; administer CREATE MORE incentives and Green Lanes facilitation	Standard first points of contact for market entry and incentive registration
Bangko Sentral ng Pilipinas (BSP)	Central bank; sets monetary policy, manages reserves and registers foreign investments for repatriation	Relevant for currency, banking and repatriation matters
Department of Finance (DOF)	Leads fiscal policy and economic diplomacy, including the Luzon Economic Corridor partnership	Key counterpart for tax policy and large strategic investments
Department of Economy, Planning, and Development (DepDev)	Planning authority overseeing growth targets and approval of major infrastructure projects	Useful for aligning proposals with national development priorities
Department of Energy (DOE)	Regulates the power and fuel sectors and oversees renewable-energy contracts open to full foreign ownership	Essential partner for energy-transition and power investments
Public-Private Partnership Center	Manages the PPP pipeline and implements	Principal channel for infrastructure

Actor	Why It Matters	Waverley Engagement Angle
	the 2023 PPP Code	concession opportunities

CURRENT INTERNATIONAL BUSINESS CHANNELS

The British Chamber of Commerce Philippines, the American Chamber of Commerce of the Philippines and the European Chamber of Commerce of the Philippines are the leading foreign business associations, alongside the Philippine Chamber of Commerce and Industry and the Makati Business Club for domestic business liaison. The Asian Development Bank is headquartered in Manila, and the World Bank, IFC and JICA maintain substantial programmes in infrastructure, energy and private-sector development. The first Luzon Economic Corridor Investment Forum in September 2026 drew more than 600 investors and officials and provides a platform for partner-country businesses, while the large Philippine family conglomerates are frequent joint-venture partners for foreign investors.

INVESTOR PROFILE BEST SUITED

The Philippines suits investors seeking long-term exposure to a large, young and English-speaking market: IT-BPM and services investors drawn by the skilled workforce; electronics and advanced manufacturing investors using PEZA ecozones and RCEP access; renewable energy, LNG and grid investors able to take full ownership; infrastructure and logistics investors pursuing PPP Code concessions and Luzon Economic Corridor projects; and consumer, retail and financial-services investors serving a market supported by record remittances. European investors in particular stand to benefit as the EU free trade agreement moves towards signature, while all investors should plan for elevated energy costs and a firmer interest-rate environment through 2027.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage BOI or PEZA on incentive eligibility
Confirm registration routes, CREATE MORE incentive terms and Green Lanes eligibility for the proposed project at the outset.

STEP 2: Structure ownership with local counsel
Map the target activity against foreign-equity rules and land restrictions, and use the liberalised sectors and long-term leases where appropriate.

STEP 3: Position for the Luzon Economic Corridor and PPP pipeline
Track corridor projects and PPP Center opportunities, and consider multilateral co-financing to strengthen governance and bankability.

STEP 4: Build energy, currency and climate scenarios into planning
Model elevated fuel prices, peso movements and typhoon or El Niño disruption, and hedge and insure accordingly.

STEP 5: Prepare for the EU free trade agreement
Assess tariff and procurement opportunities under the concluded EU agreement ahead of its expected signing in 2027.